December 5, 2025

The Federal Energy Regulatory Commission
888 First Street Northeast
Washington, DC 20426

RE: REPLY COMMENTS: Interconnection of Large Loads to the Interstate Transmission System, Docket No. RM26-4-000 (Oct. 27, 2025).

Dear Chair Rosner and Commissioners:

Rewiring America appreciates the opportunity to provide reply comments on Docket No. RM26-4-000 on Interconnection of Large Loads to the Interstate Transmission System. Rewiring America previously filed initial comments in this docket on November 21, 2025.[1]

Rewiring America reiterates that it takes no position on any Federal Power Act jurisdictional issues implicated by this proceeding. If the Federal Energy Regulatory Commission proceeds toward a rulemaking, it should avoid preempting or impeding state authority.[2]

Our comments address only the ability of distributed energy resource ("DER") aggregations to provide transmission relief for large loads. As noted in Rewiring America's initial comments, as well as comments submitted by other stakeholders in this docket,[3] DERs and virtual power plants increasingly provide cost-effective, dispatchable, and location-targeted grid services that can be deployed quickly at scale, making their treatment under Principles 3[4] and 7[5] an important consideration for the Commission. Accordingly, we offer the following observations and recommendations:

## I. The Record Reflects Divergent Approaches to Defining Proximity

Across initial comments, parties offered inconsistent interpretations of what it means for a large load to be accompanied by generation or curtailment.

Some commenters emphasized on-site assets:

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[1] Comments of Rewiring America, https://elibrary.ferc.gov/eLibrary/filelist?accession_number=20251121-5107.

[2] Rewiring America agrees with the Comments of Public Interest Organizations on state authority, including with respect to preserving states' ability to require large-load customers to fund local efficiency and distributed energy resource investments. See pp. 15-18, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5386.

[3] For further discussion of the merits of energy efficiency upgrades, distributed energy resources, and virtual power plants as they relate to large load interconnection, see Comments of Rewiring America, p. 1, https://elibrary.ferc.gov/eLibrary/filelist?accession_number=20251121-5107; Joint Comments of the Distributed Capacity Parties, pp. 2-4, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5530; Comments of the Pew Charitable Trusts, p. 3, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5443; and Comments of Tesla, p. 3, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5358.

[4] "Load and hybrid facilities should be studied together with generation facilities…" U.S. Department of Energy, Ensuring the Timely and Orderly Interconnection of Large Loads, para. 20, https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf.

[5] "FERC should expedite interconnection study of large loads that agree to be curtailable…" Ibid., para. 24.

*"Asset-backed flexible data centers incorporate physical infrastructure… The defining characteristic should be the presence of on-site assets."*[6]

Other comments referenced network or electrical proximity:

*"The load and generator may be located at the same point of interconnection, but may also be located within a specified number of buses to ensure that system impacts will be limited to a local area."*[7]

*"The Commission should establish nationwide rules governing interconnection arrangements involving generation resources paired with new large loads that share either the same or an electrically proximate point of interconnection."*[8]

*"To realize these benefits, new capacity supporting large loads need not be physically co-located at the facility, but can be distributed across the geographic area within which the new load will impact system constraints. . . . Such capacity configurations may be termed "electrically proximate" or "adjacent" and should be understood as an extension of co-location."*[9]

As seen above, even within discussions of electrical proximity, commenters diverged on whether the term should be tied to physical distance (e.g., within a certain number of buses) or instead evaluated based on performance-based system impact.

This lack of consensus creates a risk of adopting standards for asset proximity—such as a rigid bus-distance requirement—that exclude resources capable of providing real, verifiable relief to the same constrained portion of the grid. This is particularly true for DERs aggregated into virtual power plants ("VPPs"): what matters for system impact studies is the portion of the aggregated resource that can measurably relieve the specific constraint associated with the large load, even when the aggregation spans multiple nodes.

## II. A Performance-Based Proximity Standard Is Most Consistent With the Principles for Reform and With Order No. 2222

Given the divergent interpretations described above, Rewiring America encourages the Commission to adopt a proximity framework grounded in performance, not physical adjacency or arbitrary distance metrics. A resource should qualify as sufficiently proximate when it can provide timely, measurable, and locationally relevant relief to the transmission constraint created by the large load—regardless of its physical location, point of interconnection, or distance measured in buses.

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[6] Comments of Verrus LLC, p. 8, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5031.
[7] Comments of the Southwest Power Pool Transmission Owner Group, p. 5, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5448.
[8] Comments of Google LLC, p. 7, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5539.
[9] Joint Comments of the Distributed Capacity Parties, pp. 6-7, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5530.

In accordance with this framework, Rewiring America strongly supports The Pew Charitable Trusts' recommendation that "DERs within a VPP should be eligible [for concurrent study and expedited large load interconnection] where they satisfy appropriate locational and deliverability requirements."[10] This recommendation is in broad alignment with the comments submitted by the Load Flexibility Parties[11] and the Distributed Capacity Parties.[12]

A performance-based approach to concurrent study and expedited large load interconnection ensures that flexibility resources are eligible and credited for providing transmission relief, while remaining technology-neutral and consistent with Order 2222. It also allows large loads to use the most cost-effective tools available, including demand-side solutions that can reduce the need for more expensive system upgrades.[13]

Thank you for considering these recommendations.

Respectfully submitted,

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[10] The Pew Charitable Trusts recommends that "The Commission should consider aggregated DERs that: (1) are located within sufficient proximity to be able to mitigate the constraint or congestion caused by new demand; (2) meet any locational, deliverability, or distribution-system criteria relevant to the load's own energy usage; and (3) where applicable, comply with Order No. 2222's requirements for coordination with distribution utilities and anti-double-counting protections." See Comments of the Pew Charitable Trusts, pp. 5-6, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5443.

[11] Joint Comments of the Load Flexibility Parties, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5446.

[12] Joint Comments of the Distributed Capacity Parties, https://elibrary.ferc.gov/eLibrary/filelist?accession_num=20251121-5530.

[13] In December 2025, Camus, encoord, and Princeton University's ZERO Lab published a report finding that "bring-your-own-capacity" arrangements, including VPPs, can reduce net system costs by over 40 percent, at a rate of $326 million per GW. These arrangements, together with flexible grid connection, can allow a 500-MW data center to reach full operation three to five years faster than traditional interconnection processes. See https://www.camus.energy/flexible-data-center-report.